

Deliverable: Analyze the revenue and the operating (where available) by reporting segment, for the historical 3-year period. Submit a one-pager with your analysis by year, along with your responses to the questions below.

2023 Revenue and Operating:

Rev: \$9,917 (millions)

Rev growth: 18.1%

Cost of rev: \$1,703 (millions)

Operating income (loss): \$1,518 (millions)

Net income (loss): 4,792 (millions)

- The operating and revenue numbers show that Airbnb is doing very well, managing its gains and losses. They have a gross margin of 82.8%. This has allowed them to continue growing, as can be seen in 2024.

2024 Revenue and Operating:

2024 Revenue = 11,102 (millions)

Rev growth%: 11.9%

2024 Cost of Revenue (equivalent to COGS for this business) = 1,878 (millions)

2024 Operating Income = \$2,553 (millions)

2024 Net Income = \$2,648 (millions)

- The operating and revenue numbers for 2024 show that Airbnb Inc. is very profitable with low assets and strong margins -- gross profit = rev. - cost of rev (9,224 in millions), gross margin = $9,224/11,102 = 83.1\%$ (Airbnb keeps 83 cents of every dollar of revenue). These numbers indicate strong operational profitability and efficiency.

2025 Revenue and Operating: all in millions

Revenue: 12,241

Revenue Growth: 10.3%

Cost of Revenue: 2,086

Operating income: 2,544

Net income: 2,511

- The revenues and operating income for 2025 paint a picture of a company that has few costs when it comes to selling the product and accumulates most of its expenses in the form of marketing and streamlining its app and processes.
 - They have a gross profit margin of 83.0%

- **Where does the company capture the greatest margins? Are these sustainable?**

AirBnB captures its greatest margin from its core platform where guests are connected with hosts for a place to stay. From these transactions the company collects a service fee for making the connection between the two different parties. The benefit of this for AirBnB is that it does not have to deal with property maintenance and management of real estate, therefore there are less expenses but also fewer profit compared to owning the property. AirBnB is also starting to expand on their experiences and services such as a “Hands-On Dairy Farm Tour” in Vermont for \$30. So far these new sources of revenue are showing early momentum.

Historically AirBnB captures a 3% service fee from hosts and roughly 12.5% from guests which comes out to 15.5% on the total booking value. Now that AirBnB has handled the fixed costs of putting this network in place there is nearly no marginal cost for each additional transaction/service.

This model is fairly sustainable because there is such a low marginal cost and because their network is already in place. This being said the company relies heavily on a large number of hosts and guests coming through the site. AirBnB was also one of the first companies to use this business model so they have power in their brand name and have proven their reliability. Some cities are beginning to restrict short term rentals and occasionally hosts will try to convert repeat guests into direct-booking customers in order to avoid the service fees. Both of these things threaten the sustainability of the company.

- **Can you identify what “drives” revenue in each reportable segment? For example, it could be the number of users, number of stores, presence in growing markets etc.**
 - Airbnb’s primary driver of revenue is the number of bookings made on the platform. The company earns service fees from both guests and hosts whenever a stay is booked.
 - Key drivers of booking growth include:
 - Recent expansion into new countries.
 - Recently injected up to \$250 million to target booming travel demand in Asian and Latin America.
 - Increased domestic and international travel demand.
 - Increasingly available listings and hosts (despite being rent controlled in cities like New York City).
 - Another major revenue driver is Airbnbs Average Daily Rate (ADR) (the average amount paid per night).
 - ADR growth significantly helped drive revenue growth in 2025.

- Europe, the Middle East, and Africa saw strong ADR increases in particular.

- **How would you evaluate the company's pricing power?**

Pricing power for Airbnb demonstrates the ability to set prices for users without going too high. This is driven by how many guests are seeking housing; which hosts are in more demand based on reviews; and the booking price (Tafesse & Dayan, 2024). Pricing power also depends on the branding and market competition; for Airbnb, they clearly compete with hotels. However, they made a growth revenue of 18% "with sustained double-digit supply growth across all regions" (Airbnb report).

Accordingly, "Airbnb is characterized by supply-side and demand-side heterogeneity" (Reinhold & Dolnicar, 2017). That means amenities offered per housing vary on the supply side. Even though Airbnb offers a cheaper alternative, it also attracts higher-income individuals, as they also seek to connect with the local culture.